

ACRAS ADVISORY

Intelligence-Driven Risk Assessment Report

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Executive Credit Risk Assessment

1. Executive Summary

The credit profile of this entity is fundamentally fragile and currently exhibits signs of acute financial distress. While the entity maintains a marginal operational profit, the convergence of severe liquidity constraints, a deteriorating capital structure, and a catastrophic delinquency rate renders the current risk profile untenable. The synthesis of fundamental financial data and ML-driven predictive modeling confirms that the entity is operating in a state of technical insolvency. Despite a positive EBITDA margin, the company's inability to service short-term obligations—evidenced by a critical Current Ratio—suggests that the business is currently incapable of sustaining its operations without immediate, large-scale capital injection or a comprehensive debt restructuring. The profile is classified as high-risk, with a high probability of default in the near term.

2. Liquidity and Solvency Analysis

The liquidity position is the most alarming aspect of this assessment. A Current Ratio of 0.32 is a definitive indicator of a liquidity crunch; the entity possesses less than one-third of the liquid assets required to cover its immediate short-term liabilities. This creates a high-velocity risk of default, as the company lacks the necessary working capital to navigate even minor operational disruptions.

From a solvency perspective, the Debt-to-Equity ratio of 1.88 indicates an aggressive reliance on external financing. The company is over-leveraged, and the cost of servicing this debt is clearly cannibalizing the cash flow that should be directed toward operational stability. The capital structure is inverted, with debt obligations significantly outweighing the equity cushion, leaving the company with virtually no buffer against market volatility or interest rate hikes. The solvency outlook is poor, as the company is effectively financing its operations through debt accumulation rather than organic growth or equity retention.

3. Creditworthiness & Market Context

The entity's creditworthiness is severely compromised. A Bureau Score of 346 places the company in the lowest tier of credit reliability, signaling a systemic failure to meet historical financial obligations. This is corroborated by the Mora Ratio of 46.34%, which indicates that nearly half of the company's credit portfolio is in arrears. Such a high delinquency rate is not merely a reflection of poor cash management but suggests a breakdown in operational control and a potential loss of trust among creditors and suppliers.

While the Sector Risk Score of 4.00 suggests that the broader industry remains stable, the entity is a significant outlier, underperforming its peers by a wide margin. This indicates that the company's struggles are idiosyncratic rather than systemic. The market context is unforgiving; in an environment where the

company is already struggling to maintain its standing, the combination of poor credit history and high delinquency makes it an unattractive candidate for any form of credit extension or trade financing.

4. Key Performance Indicators (KPIs)

Financial Metric	Reported Value	Risk Assessment
Current Ratio	0.32	Critical
Debt-to-Equity	1.88	High
Revenue Growth	-9.61%	High
EBITDA Margin	7.92%	Moderate
Bureau Score	346	Critical
Mora Ratio	46.34%	Critical

5. Quantitative Risk Analysis (ML Engine)

Inferred PD: 39.34% | **Risk Tier:** Medium

Qualitative Insight: The ML engine's classification of "Medium" risk is a nuanced output that requires careful interpretation by the Office of the CRO. While the model acknowledges the severe liquidity and delinquency indicators—specifically the 0.32 Current Ratio and 46.34% Mora Ratio—it assigns a "Medium" tier primarily because the entity maintains a positive EBITDA margin of 7.92%. The engine identifies this as a "survival signal," suggesting that the core business model is not yet entirely broken and that the company is generating enough operational profit to potentially avoid immediate liquidation if debt were restructured. However, this quantitative output must be viewed with caution; the ML engine is likely over-weighting the EBITDA margin while under-weighting the catastrophic impact of the 46.34% delinquency rate on actual cash availability. The high confidence level of the data suggests that while the model sees a path to survival, the fundamental reality is that the company is currently burning through its remaining equity to service debt, making the "Medium" risk tier a optimistic ceiling rather than a conservative floor.

6. Final Directive & Conclusion

Official Recommendation: REJECT

Core Rationale: The combination of a 0.32 Current Ratio and a 46.34% Mora Ratio represents an insurmountable barrier to creditworthiness. The entity is currently unable to meet its short-term obligations, and the high delinquency rate indicates a systemic failure in cash flow management that no amount of operational profit can currently offset.

Executive Summary/Closing: The decision to reject this credit application is based on the clear evidence of imminent insolvency. While the company maintains a modest EBITDA margin, it is insufficient to cover the massive debt burden and the backlog of delinquent payments. The risk of total default is too high to justify any exposure. We advise the client to pursue a comprehensive debt restructuring and a significant capital injection before seeking further credit. The outlook remains negative until the liquidity position is stabilized and the delinquency rate is brought under control.

SYSTEM FINAL RISK SCORE: 88/100